

Take Note

Make notes of your conversations with creditors and bill collectors, and take down full names of everyone you speak to. You can record the telephone conversations, if you want, depending upon what state you live in. In California, Connecticut, Delaware, Florida, Massachusetts, Maryland, Michigan, Montana, Nevada, New Hampshire, Pennsylvania, and Washington, it is illegal to record a phone conversation unless you have the other person's consent. In the rest of the 38 states, I believe it is allowed (but check with your attorney!).

Make sure you have the settlement in writing before you send in money, and make sure you have a source that will loan you the money so you can indeed pay the settlement by the specified date. If you do not pay the credit card company by the specified deadline, they can call the deal off.

Settling with the credit card companies is a little known opportunity that few people are aware of. If you go to bankruptcy court, the credit card company's chances of getting anything almost evaporate, so they usually are willing to negotiate with you.

Another reason to settle directly with the creditors is to avoid the dragons of the financial lending industry, the debt collection agencies. They breathe fire and just may eat babies. And I bet a lot of those guys are covered in scales.

The Dragon Has Been Slayed

The dragon had seemed so big, and scary, and powerful. We cowered in the corner of the dungeon and assumed the worst, that he would scorch us and then have us for dinner. Then the dragon slayer strolled in, calm, cool, and collected. He saw that although the dragon was ugly, he was not as strong as we were led to believe. The dragon slayer didn't carry a sword or a fire extinguisher. Under his arm, he carried a book called *Debt Cures*, and it was a mighty weapon indeed. Fear was banished from the kingdom and the people were restored to prosperity. The fortune teller came to town and predicted, "In your future, I see great wealth."